Hong Kong Institute of
Certified Public Accountants
香港會計師公會

Qualification Programme Examination Panelists' Report

Module A – Financial Reporting
(December 2019 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case study questions tested the candidates' knowledge of the accounting treatment of partial disposal of an associate, commitment to sell a headquarter building, interest charge in relation to construction of a manufacturing facility, as well as research and development expenditure. In addition, candidates were required to prepare a consolidated statement of financial position showing separately the retained earnings brought forward and current year profit. Most candidates were unable to advise the basis for the accounting treatment for the partial disposal of an associate. Moreover, many candidates were unable to advise the appropriate accounting treatment for the interest charge in relation to construction of a manufacturing facility, as well as the research and development expenditure.

Specific Comments

Question 1 – 12 marks

This question required candidates to advise the appropriate accounting treatment of the partial disposal of an associate and calculate the gain or loss on the partial disposal.

The performance was less than satisfactory. Most candidates did not discuss the basis for the accounting treatment of a partial disposal of associate. Besides, most candidates were unable to reclassify the correct amount to profit or loss from other comprehensive income relating to the reduction in ownership interest in an associate (HKAS 28 para. 25). In fact, gain on property revaluations is an item that will not be reclassified to profit or loss while change in the fair value of debt instruments at fair value through other comprehensive income is an item that can be reclassified to profit or loss upon the reduction in ownership interest in an associate.

Question 2 – 5 marks

This question required candidates to advise the appropriate accounting treatment for the commitment to sell a headquarter building.

The performance was fair. Most candidates were able to apply HKFRS 5 and conclude that the headquarter building should not be classified as non-current assets held for sales. However, most candidates were unable to mention that the delay in the timing of transfer of the headquarter building is imposed by the entity which is not caused by events or circumstances beyond the entity's control and thus the entity cannot demonstrate that it is available for immediate sales.

Question 3 – 9 marks

This question required candidates to advise, with calculations, the appropriate accounting treatment for the interest charge in relation to the construction of a manufacturing facility.

The performance was less than satisfactory. Most candidates were able to identify the issues of the case, i.e. capitalisation of borrowing costs for qualifying assets and deduction of investment income for specific borrowing. However, many candidates were unable to calculate the correct amount for the capitalisation.

Question 4 – 4 marks

This question required candidates to advise the appropriate accounting treatment for the research and development expenditure.

The performance was less than satisfactory. Many candidates only copy the six items that an entity must demonstrate in order to recognise the development expenditure as an intangible asset (HKAS 38 para. 57) and they did not provide an explanation to support their conclusion on whether the expenditure should be expensed or capitalised.

Question 5 – 20 marks

This question required candidates to prepare a consolidated statement of financial position showing separately the retained earnings brought forward and current year profit.

The performance was fair. However, many candidates did not account for the retained earnings brought forward and current year profits separately though the question specifically required so. Besides, many candidates used the reconciliation approach to calculate the non-controlling interests, but many of them did not share the current year profit to non-controlling interests.

(II) Section B – Essay/Short Questions

General Comments

The questions in this section aimed to test the candidates on their conceptual understanding as well as their ability in applying their knowledge to specific situations that are commonly seen in actual practice. It is important to tailor the response to answer the specific question against the backdrop of the fact pattern described.

In general, candidates were able to set out their answers in a logical manner. However, while many were able to identify the relevant standards they seem to have difficulties in applying relevant requirements to the context.

For those candidates that scored full or high marks, they are able to present their answers in response to what was required, and supporting it with the relevant requirements from the specific financial reporting standards with precision.

In general, performance in this section was unsatisfactory.

Specific Comments

Question 6(a) – 7 marks

This question required candidates to apply the classification requirements under HKFRS 9 *Financial Instruments* to investments in equity instruments (which do not give rise to control, joint control or significant influence) as well as convertible bonds.

The performance was unsatisfactory. As for the investment in convertible bond, a large number of candidates wrongly performed the analysis from the perspective of the issuer when the question required the analysis to be performed from the holder's perspective. The holder actually needs to apply HKFRS 9 *Financial Instruments* to the instrument in its entirety instead of focusing on splitting the instrument into equity/ liability portion.

Question 6(b) – 3 marks

This question required candidates to explain whether they agreed that an entity can use "cost" as the measurement basis for the investment in an equity instrument issued by a private start-up entity.

The performance was unsatisfactory. While some candidates wrongly agreed with management that cost could be used as a basis of measurement, many candidates showed that they understand the requirements under HKFRS 9 *Financial Instruments* - entities should measure the investment at fair value.

Only a small number of candidates demonstrated an awareness that costs could be an appropriate approximation of fair value in certain limited situations.

Question 7(a) – 14 marks

This question required candidates to explain whether the two logistics services contracts contained a lease in which case HKFRS 16 *Leases* would apply.

The performance was fair. Most candidates were able to present a logical discussion and arrived at the right conclusions especially for the first contract, although some thought the entire contract was a service contract because of it being named a "logistics services contract".

Some candidates were not aware that a protective right that defines the scope of the right of use does not, in isolation, prevent an entity from having the right to direct the use of the asset. Also, some were not aware that the share of profits in the arrangement under the question would not prevent the entity from having the right to obtain substantially all the economic benefits from the use of the warehouse space by virtue of HKAS 16 para. B23 thus leading to wrong conclusions being drawn.

<u>Question 7(b) – 7 marks</u>

This question required candidates to describe the accounting treatments to be applied to the payments under the logistics services contract.

The performance on this question was unsatisfactory. A large proportion of the candidates did not attempt the question. For those that attempted, majority did not demonstrate an understanding that the monthly fixed payments include non-lease components and the consequential accounting treatments under HKFRS 16 *Leases*.

Some candidates referred to HKFRS 15 *Revenue from Contracts with Customers* when the contract was under the scope of HKFRS 16 *Leases*.

<u>Question 8(a) – 10 marks</u>

This question required candidates to comment on the appropriateness of the amount of provisions recorded and the quality of disclosures proposed by the entity following the requirements under HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.

The performance was less than satisfactory. Many candidates did not recognise that where a single obligation is being measured, the individual most likely outcome may be the best estimate of the liability (HKAS 37 para. 40) and therefore it would not be appropriate to calculate an expected value of the provision to be made under the specific facts and circumstances of this question.

While most arrived at the correct conclusions for the treatment on incremental legal costs and future operating losses, many candidates appear to consider a reimbursement that is virtually certain to be received as a contingent asset which contravenes the requirements under HKAS 37 paras. 33 and 53.

<u>Question 8(b) – 4 marks</u>

This question required candidates to state the exchange rates that are applicable to a depreciable non-monetary asset upon initial recognition and subsequent measurement under HKAS 21 *The Effects of Changes in Foreign Exchange Rate*.

The performance was unsatisfactory. While many candidates were able to identify the applicable standard, few were able to apply the requirements especially on subsequent measurement. Even though the question was straight forward it appears many have wrongly applied the requirements applicable to the translation of financial statements to the entity's presentation currency, when the requirements applicable to the translation of foreign currency transactions should have been applied.

Some candidates included discussions about the exchange rates to be used when revaluation model is applied when the question specifically mentioned that the entity adopted cost model.

Question 8(c) – 5 marks

This question required candidates to identify and consider the ethical issues faced by qualified certified public accountants in regards to deliberate misstatements for personal benefits.

In general, performance on this question was fair. Answers to this question tend to be general. While most candidates were able to note the behaviours that were unethical, not many were able to comment in what way that breached the specific principles in the Code of Ethics.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was less than satisfactory. Candidates are advised to study beyond popular topics. Topics related to borrowing costs and research and development are also common in practice.

Candidates are also advised to revisit the fundamental requirements of financial reporting standards that are commonly used in practice, on top of those that become effective in recent years.

Candidates are reminded to read the questions carefully and address what is being asked. In addition to the conclusions made, it is also important to demonstrate an understanding of how the answers are being arrived at.

Candidates are reminded to make a reasonable attempt to answer each part of the questions.